7. INCOME TAXES:

Income before income taxes, minority interest, equity in net earnings of 50% or less owned companies, and extraordinary item derived from the United States and foreign operations for the years ended December 31, are as follows, in thousands of dollars:

	1999	1998	1997
United States	$ 36,382	$ 118,721	$ 141,979
Foreign	7,134	54,175	33,724
	$ 43,516	$ 172,896	$ 175,703

The Company files a consolidated U.S. federal tax return. Income tax expense (benefit) consisted of the following components for the years ended December 31, in thousands of dollars:

	1999	1998	1997
Current:			
State	$ 666	$ 1,367	$ 295
Federal	(2,176)	26,607	33,303
Foreign	1,868	5,661	2,719
Deferred:			
Federal	14,891	26,658	25,067
	$ 15,249	$ 60,293	$ 61,384

The following table reconciles the difference between the statutory federal income tax rate for the Company to the effective income tax rate:

	1999	1998	1997
Statutory Rate	35.0.%	35.0 %	35.0%
Foreign and State Taxes	1.8.%	1.3 %	0.2%
Other	(1.8)%	(1.4)%	(0.3%
	35.0 %	34.9 %	34.9%

The components of the net deferred income tax liability were as follows, for the years ended December 31, in thousands of dollars:

	1999	1998
Deferred tax assets:		
Foreign Tax Credit Carryforwards	$ 2,486	$ 881
Subpart F Loss	2,499	2,462
Nondeductible Accruals	827	1,030
Other	1,800	128
Total deferred tax assets	7,612	4,501
Deferred tax liabilities:		
Property and equipment	106,099	88,184
Investment in Subsidiaries	3,060	2,192
Other	-	93
Total deferred tax liabilities	109,159	90,469
Net deferred tax liabilities	$ 101,547	$ 85,968

The Company has not recognized a deferred tax liability of $7,585,000 for undistributed earnings of certain non-U.S. subsidiaries and joint venture corporations because it considers those earnings to be indefinitely reinvested abroad. As of December 31, 1999, the undistributed earnings of these subsidiaries and joint venture corporations were $21,671,000.